SCHEDULE 4: BANK CREDIT-RISK MANAGEMENT, ETC.

RISKS IN BANK LENDING

Generally speaking, lending is one of the core activities of banking. What it means is that where bank collects money through deposit from its customers such deposits are kept idle but constitute lendable money subject to legal or policy prescription(s). This is necessary because such loandable funds are applied to the real or other sectors for investment purposes. In the process of collecting and lending, the bank incurs some liabilities on risk which may be discussed as follows:

1. Repayment risk or default risk or credit risk
2. Interest rate risk or investment risk
3. Portfolio contribution risk
4. Fraud risk
5. Operation risk
6. Legal risk

1) **REPAYMENT RISK OR DEFAULT RISK OR CREDIT RISK**

   This is risk faced by a bank as a result of engaging in lending activity. The risk crystallizes when a borrowing customer cannot pay back the principal amount or interest or both at agreed terms and condition. Such default in the fulfillment of the underlying obligation may have been caused by a number of reasons. The consequence of this risk includes high level of provisioning for bad debt due to losses.

   Note: The higher the rate of unrepaid loans, the higher the bad debt provisioning by banks.

HOW TO AVOID CREDIT OR DEFAULT RISK

a) **Selection:** i.e. lend only to high profile borrowers who have proven to be of worthy reputation.
b) **Diversification:** The bank should "not put all its egg in one basket" rather it should lend to different firms/persons operating in various industries, so as to diversify their investment portfolio. By this move, the bank will then look forward to an average return in different industries rather than single return from a single industry.
c) **Limiting the amount to lend:** i.e. placing a ceiling on the maximum amount to give out as loan. The alternative (option) is to embark on syndicated lending when the amount involved is relatively too high.
d) **Continuous monitoring** of macro-economic conditions in the country. As an example the rate of inflation in the economy will determine the value of the principal loan borrowed and the interest rate payable thereof. Therefore adequate regard should be given to monetary policy of the Central Bank of Nigeria. Normally loans obtained during inflation period attracts high interest rate repayment.

2) **INTEREST RATE RISK OR INVESTMENT RISK**

The minimum cost of lending by banks is the monetary policy rate (MPR) that is sometimes referred to as bank rate. It is the rate commercial banks borrow from the CBN; and this in turn determines the rate at which they charge their borrowing customers. Where is inflation, for example, and this has not reflected in a reduced MPR, the bank will be at loss as a result. Besides, a loss could also arise from mismatch between interest rate (sensitive assets) and interest rate (sensitive liability).

SOLVING MISMATCH PROBLEMS:

The bank can solve the problem by adopting any or all of the following:

a. By matching the balance interest rate sensitive assets (BIRSA) and tangible liabilities.
b. Rolling over of the loan: This is extending loan repayment period.
c. Hedging: This involves the use of auction and future market activities.

3) **OPERATING RISK:** This refers to internal processing activities of the bank concerning the loan received by the customer. If the loan processing procedure is not properly followed (e.g. due to poor internal control), it can result in default by customers.

   a. **FRAUD RISK:** It refers to dishonesty of bank employees or could emanate from outsiders or both. Examples include:
   b. Deliberate deception or trickery for unlawful gain or unjust activities.
   c. It could also be outright theft concerning bank property or financial asset. It also takes the form of diverting money from customer account into someone else's account.
   d. Embezzlement or defalcation: Based on his privilege provision, a director can approve loan request mischievously. Such request does not necessarily meet the approved criteria of the bank.

On the whole, success of above is a function of all the following (and more):

i) Quality of all security measures in the bank

ii) Quality of all management control system

iii) Insurance

iv) Internal audit

v) Operating procedures etc.

NB: If the operating procedures are in order and adequate. it will check-mate excesses and deficiencies.

4) **SYNDICATION RISK:** It arises if a loan or credit is part of a larger financing activity or loan involving a number of lending banks where your bank is a part-lender amongst others who are all involved in a sizeable lending activity. This is called *Consortium* lending. Any risk of non-repayment will affect all the consortium or joint lenders together.

5) **PORTFOLIO RISK:** It refers to a strategic lending agenda of the bank to diversify its lending activities to different risky sector. The purpose of this step is to ensure that the danger in lending to one sector is countered by a positive outcome of other sectors.